RISK DETAILS

UNIQUE MARKET REFERENCE: B1222PK1621445

TYPE: All Risks of Direct Physical Loss or Damage Reinsurance including Machinery Breakdown, Business Interruption as per Original Policy Wording.

REINSURED: John Doe

ORIGINAL INSURED: ABC Private Limited
Address: District ABC Road Z-99 North Sector, Serene Main Road

PERIOD:
From : 30th November 2024
To : 30th November 2025

Both days at 12.01 A.M Local Standard Time at the address of the Assured all as more fully defined in the Original Policy Wording.

INTEREST: To indemnify the Reinsured for losses arising from All Real and Personal Property of every kind, nature and description, belonging to the Original Insured or for which they are in any way legally liable, Business Interruption all as more fully defined in the Original Policy Wording.

LIMIT (100%): USD 10,000,000 Each and Every loss, combined single limit for Property Damage and Business Interruption,

Excess of Original Policy Deductibles as shown in the Information and as more fully defined in the Original Policy Wording

SITUATION: Ecuador

CONDITIONS: In consideration of the premium charged and, subject to the Terms and Conditions of this Reinsurance as set out in the Slip and subsequent Attachments and/or Endorsements applicable thereto, this Reinsurance reinsures the Reinsured's interest in payments made within the Terms and Conditions as per the Original Policy Wording.
Notwithstanding the foregoing , this Reinsurance is subject to the following:Reinsurers agree to bear their proportion of any expenses incurred whether legal or otherwise in the investigation and defence of any claim hereunder.

Cancellation Clause as per Original Policy Wording plus thirty (30) days but not exceeding ninety (90) days in all..

CONDITIONS

(CONTINUED):

NMA 2919 War and Terrorism Exclusion Endorsement (Reinsurance)
NMA 2560 Additional Limitations and Conditions
NMA 2800 Electronic Date Recognition Clause EDRC (A)
NMA 348 Average Clause with 10% margin (amended)
NMA 1622 Radioactive Contamination and Explosive Nuclear assembly's exclusion clause
NMA 2737 Claims Cooperation Clause
NMA 2842 Definition of Loss Occurrence (Hours Clause)
LMA 3100 Sanction Limitation Clause
LMA 5393 Communicable Disease Endorsement
LMA 5401 Property Cyber and Data Exclusion
NMA 2962 Biological or Chemical Materials Exclusion
LMA 5062 Fraudulent Claims Clause
Business Interruption Indemnity Period 12 months
Excluding ex-gratia and without prejudice payments
Excluding Robbery and/or assault including violence and threats to people.
LMA 5553 Strike, Riot, Civil Commotion and Malicious Acts exclusion
LMA 5018 Mould Exclusion,
LMA 5019 Asbestos Exclusion
LMA5583A Territorial Exclusion Endorsement (Belarus - Russia - Ukraine)
Excluding transmission and distribution lines beyond 1,000 feet of the Insured Premises.

SUBJECTIVITIES: None.

CHOICE OF LAW AND JURISDICTION: All disputes and differences arising under or in connection with this Reinsurance shall be subject to the exclusive jurisdiction of the Courts of Ecuador who shall apply the laws of Ecuador as the proper law of this Reinsurance.

ANNUAL PREMIUM (100%): USD 1,045,000 (100%) Annual

PREMIUM PAYMENT TERMS: LSW 3001 Premium Payment Clause, as attached

TAXES PAYABLE BY REINSURED AND ADMINISTERED BY UNDERWRITERS: None.

(RE)INSURER CONTRACT DOCUMENTATION: This document details the Contract terms entered into by the (Re)insurer(s) and constitutes the Contract document.

Any further documentation changing this Contract, agreed in accordance with the Contract change provisions set out in this Contract, shall form the evidence of such change.

RECORDING, TRANSMITTING AND STORING INFORMATION: Where the Broker maintains risk and claim data / information / documents the Broker may hold data / information / documents electronically.

SCHEDULE OF FULL CLAUSES:

PREMIUM PAYMENT CONDITION LSW 3001

The (Re)Insured agrees that the premium will be paid in full to the Reinsurers within 120 days from the commencement of this policy (or, with respect to facility premiums, on the due date).

If the premium due under this policy has not been so paid to the Reinsurers by the 120th day of the inception of this policy (and, in respect of facility premiums, by the due date) the Reinsurers shall have the right to cancel the policy by notifying the (Re) Insured through the intermediary, in writing. In the event of cancellation, the premium is due to the Reinsurers on a pro rata basis for the period the Reinsurers are at risk, but the full policy premium will be paid to the Reinsurers in the event of a loss. or occurrence prior to the termination date giving rise to a valid claim under this policy.

It is agreed that the Reinsurers may not give less than 30 days prior notice of cancellation to the (Re) Insured through the intermediary. If the premium due is paid in full before the notice period expires, the cancellation notice will be automatically revoked. If not, the policy will automatically terminate at the end of the notice period.

Unless otherwise agreed, the Lead Reinsurer (and the Parties to the Agreement if applicable) are authorized to exercise the rights under this clause on their own behalf and on behalf of all Reinsurers participating in this contract.

If any provision of this clause is found by any court or administrative agency of competent jurisdiction to be invalid or unenforceable, such invalidity or unenforceability shall not affect the other provisions of this clause, which shall remain in full force and effect.

Where premium is to be paid through a London Market Agency, payment to Reinsurers will be deemed to occur on the day of delivery of a premium notice to the Agency.

LSW 3001

INFORMATION

The following Information was provided to (Re)Insurer(s) to support the assessment of the Risk at the time of underwriting.

Business of the Insured:

Manufacture of wood (smoothed, stained, coated, impregnated, reinforced with paper or fabric, cut into shapes) for veneers thin enough to produce compacted, glue-laminated, veneered lumber

Total Insured Values:

USD 284,860,219 breakdown of values as follows:

Property Damage:	USD 185,183,571.46
Business Interruption: (12 months indemnity period)	USD 99,676,647.05

Original Policy Deductibles:

To apply each and every loss unless otherwise stated:

Natural Perils, including but not limited to:

Earthquake, tremor, volcanic eruption, other natural events and collapse: 2% of the insured value of the location affected, each and every loss, minimum USD 25,000 per occurrence.

Rain and flooding, including hail:

2% of the insured value of the location affected, each and every loss, minimum USD 25,000 per occurrence.

Fire and Allied Perils, including but not limited to:

Spontaneous Combustion and glass breakage:

10% of the loss amount each and every loss, subject to a minimum of USD 50,000 per occurrence.

All other perils:

10% of the loss, minimum of USD 10,000 per occurrence

Machinery Breakdown:

Value less than USD 25,000:	15% of loss, minimum USD 1,500
Value between USD 25,001 and USD 250,000	15% of loss, minimum USD 25,000
Value above USD 250,001	15% of loss, minimum USD 100,000

Chains and conveyor belts:

10% of loss, minimum USD 5,000

Business Interruption resulting from Catastrophic Perils

20 days

Business Interruption resulting from Machinery Breakdown:

21 days

Business Interruption caused by all other perils:
15 days

Original Policy Sub-limits:

Extraordinary expenses for direct damages: USD 300,000

Broad electrical clause: USD 100,000

Travel and accommodation expenses: USD 60,000

Accidental fall of cargo, due to handling on premises: USD 250,000

Glass, signs, advertising, notices, awnings, fences (in the national territory): USD 50,000

Debris removal:
USD 3,000,000

Professional fees, including auditors, reviewers and travel expenses for technicians for reconstruction of the plant: USD 200,000

Documents and models: USD 50,000

Air freight and/or express: USD 100,000

Fire extinguishing expenses: USD 100,000

Expenses to expedite repairs: USD 100,000

Employee personal property (excludes vehicles, money, and jewellery): USD 10,000

Expense for leases of substitute premises: USD 200,000

Rupture of tanks, silos or similar and spillage of contents: USD 200,000

Fire extinguishers:

USD 10,000

Machinery Breakdown:
USD 13,000,000

Wide Spontaneous Combustion:
USD 100,000

Business interruption arising from loss of suppliers and/or distributors and/or processors, national and international: USD 1,000,000

Suspension of services: water, gas, electricity: USD 500,000

Incineration and salvage costs: USD 50,000

Damage to merchandise due to rain, excluding goods in the open: USD 100,000

Suspension of electric power, water, gas services, excludes events due to sabotage and terrorism in service providers, excludes towers, posts, and transmission, and sub-transmission and distribution lines applies the same deductible for loss of profits:
USD 500,000

Territorial and extraterritorial portability:
USD 5,000 per event and USD 10,000 in the annual aggregate

Oils, lubricants and coolants: USD 20,000

Automatic protection of new properties: USD 500,000, 30 days

Automatic protection of new M&E:
USD 100,000, 15 days

Protection of own and/or third-party assets, under the responsibility of the Insured:
USD 100,000

Goods outdoors, for those goods that by their nature must remain outdoors, sublimit:
USD 100.000.

Goods on display or demonstration outside the insured premises: USD 100,000

Chains and conveyor belts: USD 500,000

Imported materials:
USD 250,000

Contractor interest:
USD 20,000

Civil works and assemblies in progress:
USD 100,000 Only for fire coverage and annexes, excludes CAR, EAR, ALOP and Civil Liability

Original Policy Conditions:

- Lost Profit English form, compensation period 12 months.
- Loss of Profits derived from Sabotage and Terrorism, is also activated due to Mutiny Strike, civil unrest and malicious acts.
- Accession
- Alterations and repairs, prior notice to the company.
- Arbitration and mediation
- Civil authority
- Cancellation of terrorism and sabotage coverage 30 days
- 72 hour clause
- Automatic coverage clause for equipment, machines and their parts to replace other claims
- Pandemic exclusion clause
- Construction warranty clause
- Clause guarantee of entrepreneurship of continuity plan (loss of profits)
- Accounting and proof
- Appointment of adjusters by mutual agreement
- Designation of goods
- Preventive destruction, prior authorization from the company
- Unintentional Errors or Omissions of Description Only
- ACCUMULATED STOCK When the insured uses the stock or stock of finished product in an accident so as not to affect their sales, the cost of replacing said stock will be recognized and compensated (English Form)
- Extension of validity on a pro rata basis, 30 calendar days, prior authorization from the reinsurers.
- Free circulation between premises
- Location and free transit, excludes transportation
- Merchandise owned by third parties up to the limit declared in inventories
- Cancellation clause The application of underinsurance is not waived
- Notification of claims 15 calendar days
- First purchase option
- Horizontal property
- Immediate repairs, prior authorization from the insurer
- Replacement or replacement for insured goods at replacement value, excludes technical lines (Breakdown of Machinery, Electronic Equipment and Equipment and Machinery)
- Automatic restitution of insured value except for terrorism and coverage with limits and sublimits
- Rescue
- Stamps and marks
- Temporary transfer, excludes transportation and theft
- Underinsurance tolerance of 10%

- It should be understood that in any case, the characteristics of the equipment will always be similar and if there are none, they will be the next ones (existing in the market).
- Depreciation table: The following depreciation table will be applied for total loss. In case of partial loss, depreciation will not be applied From 0 to 5 years: 0%
  From 6 to 10 years: 5% per year
  More than 10 years: 10% per year, maximum 45%
  Depreciation will be applied considering the manufacturer's standards and recommendations.
  In case of machinery with Overhaul, prior agreement between the parties.
- The declared value of inventories corresponds to the monthly average value
- "The Clause of Inclusion of Profit for Sabotage and Terrorism", is also activated due to Riot Strike, civil unrest and malicious acts.
- It is confirmed that, in the event of a miscalibration for any reason, the policy will cover the breakdown of machinery, but not the calibration due to a calibration failure.
- Electricity transmission and distribution networks, power distribution plants, including substations that will be covered as long as they are damages caused to ABC or the named suppliers.
- Exclusion of Infectious /Contagious Disease

  Notwithstanding any provision in this Agreement, including any exclusion, extension, or other provision contained herein, which may otherwise invalidate a general exclusion, all consequential loss, damage, and business interruption and/or business interruption contingent (contingent business interruption), and costs in connection with or arising directly or indirectly from infectious and/or contagious diseases, including any contamination / any decontamination / any disinfection, and or any act of a legally established authority in relation to closures, restriction or access prevention, in handling the above is excluded.

Reinsurance Conditions:

- The insured values must be at a new replacement value, the application of underinsurance is not waived.
- The insured undertakes to carry out adequate maintenance on the machinery to guarantee its good state of maintenance.
- Portability Extension
- Avoid overloading the machinery, habitually or sporadically, or use it or them in jobs for which it was not designed.
- Comply with the respective legal regulations on safety conditions and accident prevention, as well as the manufacturers' instructions on the installation and operation of the machinery.
- Review and, if necessary, completely recondition both the electrical and electronic parts, as well as the mechanical parts of the insured machines. and they will take place at least every two years, regardless of the validity of the insurance, keep the maintenance compliance in a log.

SECURITY DETAILS

(RE)INSURER'S LIABILITY: **<u>LMA 3333 (Re)insurer's liability several not joint</u>**

The liability of a (Re)insurer under this Contract is several and not joint with other (Re)insurers party to this Contract. A (Re)insurer is liable only for the proportion of liability it has underwritten. A (Re)insurer is not jointly liable for the proportion of liability underwritten by any other (Re)insurer. Nor is a (Re)insurer otherwise responsible for any liability of any other (Re)insurer that may underwrite this Contract.

The proportion of liability under this Contract underwritten by a (Re)insurer (or, in the case of a Lloyd's Syndicate, the total of the proportions underwritten by all the members of the Syndicate taken together) is shown next to its stamp. This is subject always to the provision concerning "signing" below.

In the case of a Lloyd's Syndicate, each member of the Syndicate (rather than the Syndicate itself) is a (Re)insurer. Each member has underwritten a proportion of the total shown for the Syndicate (that total itself being the total of the proportions underwritten by all the members of the Syndicate taken together). The liability of each member of the Syndicate is several and not joint with other members. A member is liable only for that member's proportion. A member is not jointly liable for any other member's proportion. Nor is any member otherwise responsible for any liability of any other (Re)insurer that may underwrite this Contract. The business address of each member is Lloyd's, One Lime Street, London EC3M 7HA. The identity of each member of a Lloyd's Syndicate and their respective proportion may be obtained by writing to Market Services, Lloyd's, at the above address.

Proportion of liability

Unless there is "signing" (see below), the proportion of liability under this Contract underwritten by each (Re)insurer (or, in the case of a Lloyd's Syndicate, the total of the proportions underwritten by all the members of the Syndicate taken together) is shown next to its stamp and is referred to as its "written line".

Where this Contract permits, written lines, or certain written lines, may be adjusted ("signed"). In that case a Schedule is to be appended to this Contract to show the definitive proportion of liability under this Contract underwritten by each (Re)insurer (or, in the case of a Lloyd's Syndicate, the total of the proportions underwritten by all the members of the Syndicate taken together). A definitive proportion (or, in the case of a Lloyd's Syndicate, the total of the proportions underwritten by all the members of a Lloyd's Syndicate taken together) is referred to as a "signed line". The signed lines shown in the Schedule will prevail over the written lines unless a proven error in calculation has occurred.

Although reference is made at various points in this clause to "this Contract" in the singular, where the circumstances so require this should be read as a reference to Contracts in the plural.

ORDER HEREON: 7.70% of 100%

BASIS OF

WRITTEN LINES: Percentage of Whole

SIGNING PROVISION: In the event that the written lines hereon exceed 100% of the order, any lines written “to stand” will be allocated in full and all other lines will be signed down in equal proportions so that the aggregate signed lines are equal to 100% of the order without further agreement of any of the (Re)insurers
However:

a) in the event that the placement of the order is not completed by the commencement date of the period of (Re)insurance then all lines written by that date will be signed in full;

b) the (Re)insured may elect for the disproportionate signing of (Re)insurers’ lines, without further specific agreement of (Re)insurers, providing that any such variation is made prior to the commencement date of the period of (Re)insurance, and that lines written “to stand” may not be varied without the documented agreement of those (Re)insurers

the signed lines resulting from the application of the above provisions can be varied, before or after the commencement date of the period of (Re)insurance, by the documented agreement of the (Re)insured and all (Re)insurers whose lines are to be varied. The variation to the Contracts will take effect only when all such (Re)insurers have agreed, with the resulting variation in signed lines commencing from the date set out in that agreement.

SECURITY DETAILS

In a co-insurance placement, following (Re)insurers may, but are not obliged to, follow the premium charged by the Lead (Re)insurer.

(Re)insurers may not seek to guarantee for themselves terms as favourable as those which others subsequently achieve during the placement.

In respect of electronic lines the Underwriter(s) agreement and participation to this Contract has been accepted upon the Lloyd’s Placing Platform Limited (PPL) program.

Confirmation of Underwriter(s) acceptance is noted within Security Details located on the final pages of this document

SUBSCRIPTION AGREEMENT

SLIP LEADER:

ABC Syndicate

For the purposes of SCAP the Slip Leader must be (a) an authorised person (as defined in Section 31 of the Financial Services and Markets Act 2000) with the permission to effect and carry out the contracts of insurance; or (b) a member of Lloyd's.

BUREAU LEADER:

Lloyd's Bureau Leader is

LIRMA Leader:

ILU Leader:

(Where both company and Lloyd's participate, both Bureau Leaders should be included. For the purposes of SCAP, the Bureau Leader(s) must be identified).

(For claims falling within the scope of the Single Claims Agreement Party (SCAP) Arrangements, claims at or below the Threshold Amount to be agreed by the SLIP LEADER only according to the terms of the SCAP Arrangements and the Bureau Leaders are to adhere to the applicable claims agreement practices and act in accordance with CLAIMS AGREEMENT PARTIES (as defined in A or B below).

BASIS OF AGREEMENT TO CONTRACT CHANGES:

GUA (Version 2.0 February 2014) with Non-Marine Schedule – October 2001

A. In respect of each (re)insurer which at any time has the ability to send and receive ACORD messages via the Exchange:

i. Any contract change will be submitted by XYZ (UK) Ltd for agreement via an 'ACORD message';

ii. any contract change which requires notification will be notified by XYZ (UK) Ltd via an 'ACORD message';

iii. It is understood and agreed that whilst any contract change may be negotiated and agreed in any legally effective manner (and will be binding at that stage), such agreement of any contract change will be confirmed by each such (re)insurer via an appropriate 'ACORD message'. For the avoidance of any doubt, no further duty of disclosure arises in relation to any such confirmation.

B. In respect of each (re)insurer who does not have the ability to send and receive ACORD messages via the Exchange:

i. It is understood and agreed that whilst any contract change may be negotiated and agreed in any legally effective manner (and will be binding at that stage), any such contract change will be submitted/notified by XYZ (UK) Ltd electronically via email or other electronic means;

ii. Such binding agreement of any contract change will be confirmed by each such (re)insurer via email or other electronic means. For the avoidance of any doubt, no further duty of disclosure arises in relation to any such confirmation.

Where there is a requirement for any wording to be agreed this only requires to be agreed by a nominated programme leader

The nominated programme leader is …………………………….. In the event that the above is blank, the programme leader will be whomsoever XYZ (UK) Ltd appoints.

The Slip Leader is to determine whether amendments to the wording fall into part one, part two or part three of the GUA schedule.

The period of this contract can be extended or shortened by up to two calendar months, irrespective of any Notices of Cancellation at Anniversary Date hereon, on agreement of Slip Leader only. Additional/Return premium calculated at pro rata of existing premium.

Reference to “5 working days” within Sections 1.14 and 1.15 in respect of premium payment (Part 1, agreement by Slip Leader only) of the above referenced Non Marine Schedule is amended to read “30 Calendar days”.

The following clause is applicable to insurance risks which are eligible for TRIA.

TRIA NOTICE CLAUSE

Authority is hereby given to the Slip Leader to issue notice to Insured(s) as required by the U.S. Terrorism Risk Insurance Act of 2002 on behalf of all insurers hereon.

OTHER AGREEMENT PARTIES FOR CONTRACT CHANGES, FOR PART 2

GUA CHANGES ONLY: Where no other agreement parties for contract changes are stated herein, the agreement party will be the Slip Leader only.

OTHER AGREEMENT PARTIES FOR CONTRACT CHANGES, FOR THEIR PROPORTION ONLY: Where no other agreement parties for contract changes are stated herein, the agreement party will be the Slip Leader only.

BASIS OF CLAIMS AGREEMENT: As specified under the CLAIMS AGREEMENT PARTIES section of this Contract and to be managed in accordance with:

i) The SINGLE CLAIMS AGREEMENT PARTY ARRANGEMENT – LMA9150 [as below] for claims or circumstances assigned as Single Claims Agreement Party Claims (SCAP Claims) or, where it is not applicable, then the following shall apply as appropriate:-

ii) The Lloyd's Claims Scheme (combined) or as amended or any successor thereto.
(N.B. The applicable Lloyd's Claims Scheme/part will be determined by the rules and scope of the Schemes(s)) iii) IUA claims agreement practices.

iv) The practices of any company(ies) electing to agree claims in respect of their own participation.

The applicable arrangements (scheme, agreement or practices) will be determined by the rules and scope of said arrangements and should be referred to as appropriate.

Single Claims Agreement Party Arrangements

1 Single Claims Agreement Party

1.1 Scope

All claims having, or circumstances assessed by the SLIP LEADER as having, a **Claim Amount** at or below GBP250,000 or currency equivalent (the **Threshold Amount**) will be designated a Single Claims Agreement Party Claim (**SCAP Claim**) and will be managed within the terms of these Single Claims Agreement Party Arrangements (these **Arrangements**). For the purposes of these **Arrangements** the SLIP LEADER must be: (a) an authorised person (as defined in Section 31 of the Financial Services and Markets Act 2000) with permission to effect and/or carry out contracts of insurance; or (b) a Member of Lloyd's.

1.2 Exceptions

Where:

1.2.1 the **Claim Amount** is more than, or, in the assessment of the SLIP LEADER, is likely to be more than, the **Threshold Amount**; and/or

1.2.2 after making further enquiries, there remains insufficient information to form a view on the likely quantum of any circumstance or claim and in the SLIP LEADER'S assessment, there is a material risk that the quantum will ultimately exceed the **Threshold Amount**; and/or

1.2.3 issues arise of fraud or avoidance (either under the Insurance Act 2015 or otherwise) or there are allegations against (re)insurers of regulatory breach which may result in regulatory action being taken against (re)insurers, or actionable allegations of improper claims handling have been made in respect of the claim at issue, or, in the assessment of the SLIP LEADER, such issues are likely to arise in connection with a claim; and/or

1.2.4 in the assessment of the SLIP LEADER a claim is, or is likely to become, controversial or complex, or is likely to become subject to **Dispute Resolution Proceedings**,

such claims or circumstances shall be managed in accordance with the provisions of the applicable BASIS OF CLAIMS AGREEMENT.

2 Slip Leader Responsibilities

2.1 Receipt of a Claim

Upon receiving a notification of a claim or circumstance, the SLIP LEADER shall, as soon as practicable, reasonably assess and decide, based on all the relevant circumstances (including but not limited to the **Claims Information**), whether such claim or circumstance is a **SCAP Claim** and notify the Broker accordingly with instructions for it to advise this decision to all claims agreement parties defined in B of the CLAIMS AGREEMENT PARTIES section.

2.2 Role of the Slip Leader

A **SCAP Claim** shall be **Determined** by the SLIP LEADER on behalf of itself and all (re)insurers which subscribe: (1) to this **Contract** on the same contractual terms (other than premium and brokerage); and (2) to these **Arrangements** (**Subscribing (Re)Insurers**).

When Determining a **SCAP Claim**, including where the SLIP LEADER may have delegated the **Determination** of a **SCAP Claim**, the SLIP LEADER must always:

2.2.1 act in good faith and exercise the reasonable care of a competent (re)insurer; and

2.2.2 act in the best interest of all **Subscribing (Re)Insurers** on whose behalf it acts; and

2.2.3 comply with all laws, sanctions regimes, regulations and related guidance (including, but not limited to, those issued by Lloyd's, the Financial Conduct Authority and/or the Prudential Regulation Authority) as may be applicable to the **Determination** of a **SCAP Claim** and to which the SLIP LEADER is subject, including, but not limited to conduct of business rules requiring (re)insurers to treat customers fairly (if applicable in that jurisdiction); and

2.2.4 notify either directly or via the Broker, all **Subscribing (Re)Insurers** of any **Dispute Resolution Proceedings** commenced against them.

For the avoidance of doubt, the SLIP LEADER shall have no obligations or liability to any (re)insurer, other than a **Subscribing (Re)Insurer**, arising out of or in any way connected with the **Determination** of a **SCAP Claim**.

2.3 Reassigning Claims

Where during the life of a **SCAP Claim** any of the provisions of clause 1.2 apply, the SLIP LEADER shall:

2.3.1 reassign the **SCAP Claim** to the claims agreement parties defined in B of the CLAIMS AGREEMENT PARTIES section; and

2.3.2 notify the Broker accordingly with instructions for it to advise all applicable claims agreement parties defined in B of the CLAIMS AGREEMENT PARTIES section, following which the provisions of the applicable BASIS OF CLAIMS AGREEMENT shall apply to the claim.

The SLIP LEADER may, at any time, reassign a **SCAP Claim** outside of these **Arrangements** if having due regard to the available **Claims Information**, all relevant circumstances and its ability to act in accordance with clauses 2.2.1 to 2.2.3 inclusive, it considers that this assignment would be appropriate, following which the provisions of the applicable BASIS OF CLAIMS AGREEMENT shall apply to the claim.

The Broker may also, at any time, reassign a **SCAP Claim** outside of these **Arrangements** and to the provisions of the applicable BASIS OF CLAIMS

AGREEMENT by advising all claims agreement parties defined in B of the CLAIMS AGREEMENT PARTIES section.
Where a **SCAP Claim** has been reassigned outside of these **Arrangements**, it may not, without the consent of all claims agreement parties defined in B of the CLAIMS AGREEMENT PARTIES section, be reassigned as a **SCAP Claim**.

Notwithstanding clauses 1.2.1 and 1.2.2 but without prejudice to any other right or requirement to (re)assign a **SCAP Claim** outside of these **Arrangements**, where the exchange rate between Sterling and the currency in which the **SCAP Claim** has been made fluctuates after the conversion date stated in A of the CLAIMS AGREEMENT PARTIES section such that the Sterling value of the claim exceeds the **Threshold Amount**, the claim shall not cease to be a **SCAP Claim** by reason of the currency fluctuation alone.

2.4 Delegation of Determination

The SLIP LEADER may delegate its **Determination** of a SCAP Claim to another entity.

Despite its right to delegate the **Determination** of a **SCAP Claim** pursuant to these **Arrangements** the SLIP LEADER shall remain responsible for all acts and omissions of the delegate and the acts and omissions of those employed or engaged by the delegate as if they were its own.

2.5 Processing Claims

The SLIP LEADER shall ensure that all supporting information has been properly documented prior to payment of the claim and that such records are kept for a period of no less than seven years after closure, subject always to the requirements of applicable laws (including but not limited to those applicable to the processing of personal data and privacy).

3 Broker Responsibilities

Notwithstanding the application of these **Arrangements**, the Broker shall advise all claims agreement parties defined in B of the CLAIMS AGREEMENT PARTIES section of any or all of the following matters or events, where known, as soon as practicable:

3.1 any new claim or circumstance assigned as a **SCAP Claim**;
3.2 any recommended reserve or reserves for a **SCAP Claim**;
3.3 any revision to the recommended reserve or reserves for a **SCAP Claim**;
3.4 any change in the assignment of a **SCAP Claim**;
3.5 the receipt of notice of the commencement of any **Dispute Resolution Proceedings** relating to a **SCAP Claim**;

3.6 the final **Determination** of a **SCAP Claim**, including where a **SCAP Claim** is denied;

3.7 any receipt of a complaint against (re)insurers;

3.8 any termination of the SLIP LEADER's authority to **Determine** claims under clauses 4.1 to 4.3 inclusive; and/or

3.9 where so requested by the SLIP LEADER, the identity and participation of all **Subscribing (Re)Insurers**.

A **Subscribing (Re)Insurer** may request the SLIP LEADER and/or Broker to provide such further information as it may reasonably require and the SLIP LEADER and Broker shall co-operate fully with any such request.

4 Termination of the SLIP LEADER's Authority

In the event that the SLIP LEADER:

4.1 becomes the subject of voluntary or involuntary rehabilitation or liquidation, action in bankruptcy or similar or in any way otherwise acknowledges its insolvency or is unable to pay its debts or losses; or

4.2 has its right to transact the main class of business covered by the slip withdrawn, suspended, removed or made conditional or impaired in any way by any regulatory authority; or

4.3 ceases to be either: (a) an authorised person (as defined in Section 31 of the Financial Services and Markets Act 2000) Page vii with permission to effect and/or carry out contracts of insurance; or (b) a member of Lloyd's,

the authority of that SLIP LEADER to **Determine** all **SCAP Claims** shall automatically terminate from the date of that event, following which the provisions of the applicable BASIS OF CLAIMS AGREEMENT shall apply to the claim.

5 Professional Advisers

5.1 The SLIP LEADER has the sole authority to appoint and instruct an independent, external, professional adviser (which may include, but is not limited to, a lawyer, loss adjuster, surveyor, actuary or accountant) on behalf of **Subscribing (Re)Insurers** where, in its sole discretion, it considers the professional adviser necessary for the **Determination** of a claim. The SLIP LEADER shall supervise the professional adviser throughout the period of their appointment.

5.2 A professional adviser appointed in connection with a **SCAP Claim** pursuant to clause 5.1 above may, at the SLIP LEADER's discretion, be instructed to send all reports and correspondence directly to the SLIP LEADER. The professional adviser's fees shall be agreed by the SLIP LEADER. The fees of the professional adviser shall be shared between the **Subscribing (Re)Insurers** in accordance with their respective shares of the **SCAP Claim**.

6 Claims Concerns

If a **Subscribing (Re)Insurer** has a concern regarding the handling of a **SCAP Claim** by the SLIP LEADER it shall notify the SLIP LEADER of its concern. The SLIP LEADER and the **Subscribing (Re)Insurer** which has raised the concern shall promptly confer and use their best endeavours to resolve the concern. If any disagreement remains after a period of 28 days from the date on which the concern was notified to the SLIP LEADER, the authority of the SLIP LEADER to **Determine** the **SCAP Claim** to which the concern relates shall terminate, following which the provisions of the applicable BASIS OF CLAIMS AGREEMENT shall apply to the claim.

7 Intra-(Re)Insurer Dispute Resolution Protocols

Before a **Subscribing (Re)Insurer** (Claimant) can bring a legal claim against the SLIP LEADER in relation to the **Determination** of a **SCAP Claim** or for an alleged breach of its obligations under these **Arrangements**, it must first attempt to resolve the dispute (**Dispute**) as follows:

7.1 The **Claimant** shall notify the SLIP LEADER that it is commencing the **Dispute Resolution Protocols** prescribed in this clause 7.

7.2 The **Dispute** shall first be referred to representatives of the SLIP LEADER and of the **Claimant** who shall meet in a good faith effort to resolve the **Dispute**. If a resolution is not achieved within 21 days from the date the **Dispute** was referred to these individuals, the matter shall be escalated to a member of senior management responsible for claims, for each of the **Claimant** and SLIP LEADER, who shall attempt to resolve the **Dispute**.

7.3 If the **Dispute** has not been resolved within 28 days from the date upon which it is referred to senior management, then the **Claimant** and SLIP LEADER shall enter into a mediation agreement in the form prescribed by the LMA and IUA. If the resulting mediation fails to resolve the **Dispute**, then the **Dispute** shall be settled by arbitration in accordance with clause 7.4, provided always that the decision to commence an arbitration must be taken by the senior management of the **Claimant** in question.

7.4 All arbitrations arising out of or in connection with a **Dispute** shall be referred to arbitration under ARIAS Fast Track Arbitration Rules. The seat of arbitration shall be London.

8 Limitation of Liability

8.1 The total liability, whether in contract, in tort (including but not limited to negligence), breach of fiduciary duty, breach of statutory duty or otherwise, of a SLIP LEADER to all **Subscribing (Re)Insurers** on whose behalf it has acted, or is acting, under these **Arrangements** shall not exceed GBP 500,000 in respect of any one **SCAP Claim** (**Liability Cap**).

8.2 If the aggregate liability of a SLIP LEADER in respect of any one **SCAP Claim** would exceed the **Liability Cap**, the **Subscribing (Re)Insurers** shall each be entitled to be paid only a share of the **Liability Cap** calculated in proportion to the share of the (re)insurance underwritten by each **Subscribing (Re)Insurer** (excluding for the purposes of this clause any share underwritten by the SLIP LEADER).

8.3 A SLIP LEADER shall not be liable for loss of profits, loss of business, loss of use (in each case whether direct or indirect) or any other indirect, special, or consequential damages alleged to have been suffered by a **Subscribing (Re)Insurer** arising out of its breach of the terms of these **Arrangements**.

8.4 Notwithstanding clause 8.3 but subject always to clauses 8.1, 8.2 and 8.5, nothing in this clause 8 is intended to exclude the SLIP LEADER'S liability to the **Subscribing (Re)Insurers** in respect of damages payable by the **Subscribing (Re)Insurers** to the (re)insured, in addition to the Claim Amount, arising from the mishandling of a **SCAP Claim** by the SLIP LEADER, its agents or employees, where such mishandling gives rise to an actionable claim for damages against **Subscribing (Re)Insurers**.

8.5 Nothing in these **Arrangements** shall exclude, restrict or limit with respect to the handling of a **SCAP Claim** a SLIP LEADER's liability for: (1) fraud or fraudulent misrepresentation; (2) death or personal injury caused by its negligence or the negligence of its employees or agents; or (3) any matter in respect of which it would be unlawful to exclude or restrict liability.

9 Choice of Law and Jurisdiction

Notwithstanding any other choice of law, express or implied in the contract of (re)insurance, the provisions of these **Arrangements** shall be construed and governed in accordance with the Laws of England and Wales and the **Subscribing (Re)Insurers** submit to the exclusive jurisdiction of the Courts of England and Wales.

10 Exclusions

10.1 The following types of business (and applicable risk codes for Lloyd's) are excluded from these **Arrangements**:
10.1.1 Binding Authorities;
10.1.2 Proportional & Quota Share Treaties.

10.2 The following forms of settlement are excluded from these Arrangements:

10.2.1 ex gratia payments of any kind;
10.2.2 commutation agreements.

Definitions

In these **Arrangements**, unless the context otherwise requires, the following words shall have the following meanings:

Claim Amount means:

- in relation to each **SCAP Claim**, the total amount claimed (after the application of any applicable deductible(s));or

- in relation to a circumstance, the total amount which, in the judgement of the SLIP LEADER, may be claimed (after the application of any applicable deductible(s)),

- by the (re)insured from all (re)insurers under the **Contract** including, but not limited to, any of their expenses or other sums that are recoverable from the (re)insurers under the **Contract** pursuant to the terms of the (re)insurance. The Claim Amount shall exclude any costs incurred by the (re)insurers arising out of, or in connection with the handling of a **SCAP Claim**.

Claims Information means the information contained within a notification or provided by the (re)insured or its agent in relation to a **SCAP Claim**. It also includes all information obtained by the SLIP LEADER or provided by any **Professional Adviser** employed by (re)insurers.

Contract means, for the purposes of these **Arrangements**, (re)insurance evidenced by (re)insurers subscribing to a single Market Reform Contract and where all (re)insurers participate on the same contractual terms and conditions (other than premium and brokerage).

Determination/Determine means all claims handling activities necessary (including the appointment and instruction of any **Professional Advisers**) in order to: (i) accept or deny a **SCAP Claim**, in whole or in part; (ii) agree any amount payable and (iii) resolve finally any open matter in respect of the **SCAP Claim** by agreement or, negotiation.

Dispute Resolution Proceedings means any litigation, arbitration, mediation, regulatory hearing (other than before an ombudsman) or other contested proceeding commenced by or against **Subscribing (Re)Insurers** in any jurisdiction.

LMA9150
01 February 2018

CLAIMS AGREEMENT PARTIES:

A. Claims falling within the scope of the (LMA9150) to be agreed by Slip Leader only on behalf of all (re)insurers subscribing (1) to this Contract on the same contractual terms (other than premium and brokerage) and (2) to these Arrangements.

For the purposes of calculating the Threshold Amount, the sterling rate on the date that a financial value of the claim is first established by the Slip Leader shall be used and the rate of exchange shall be the Bank of England spot rate for the purchase of sterling at the time of the deemed conversion.

B. For all other claims:

i) For Lloyd's syndicates:

The leading Lloyd's syndicate and, where required by the applicable Lloyd's Claims Scheme, the second Lloyd's syndicate.

The second Lloyd's Syndicate is

ii) Those companies acting in accordance with the IUA claims agreement practices, excepting those that may have opted out via iv) below.

iii) Those companies that have specifically elected to agree claims in respect of their own participation.

iv) All other subscribing insurers that are not party to the Lloyd’s/IUA claims agreement practices, each in respect of their own participation.

v) Notwithstanding anything contained in the above to the contrary, any ex gratia payments to be agreed by each (re)insurer for their own participation.

CLAIMS ADMINISTRATION:

XYZ (UK) Ltd and (re)insurers agree that any claims hereunder (including any claims related costs/fees) will be notified* and administered via the Electronic Claims File (ECF) with any payment(s) processed via CLASS, unless both parties agree to do otherwise.

* XYZ (UK) Ltd may elect to notify by email in certain circumstances (such as for a precautionary notification on an excess layer or a notification which is potentially unlikely to develop into a claim). However, XYZ (UK) Ltd agree to backload and administer via ECF should the notification subsequently develop into a claim requiring a reserve to this contract.

Where claims or circumstances are not administered via ECF, notification, administration and payment(s) will be electronic.

Where a Lloyd's syndicate or IUA company is not an agreement party to the claim or circumstance (per CLAIMS AGREEMENT PARTIES A. above) they agree to accept correct ECF sequences for administrative purposes to ensure information is circulated to all subscribing parties.

XYZ (UK) Ltd are authorised to obtain translations of claims documents on behalf of reinsurers, with Reinsurers' associated costs being payable by Reinsurers as provided for under Expert(s) Fees Collection heading.

XYZ (UK) Ltd to ensure that the relevant certificate or declaration has formed or will form part of the regular premium signings under this contract prior to request for claims settlement. Evidence to be provided to (re)insurers where required upon request. Claims to be accepted as presented accordingly on this basis.

All claims will be settled upon receipt of legible copy and/or photocopy documents, including Bills of Lading and survey reports, it being understood and agreed that the Assured will use their best endeavours to furnish whatever original documents may be required for subrogation purposes. However, where a Certificate of Insurance has been issued, no claim will be settled without production of the original, or the claimants, signature to a Letter of Indemnity.

For Non Bureaux Reinsurers only

Claims settlement to be remitted to XYZ (UK) Ltd (unless otherwise specified within the contract) within 7 working days after agreement of claim by Slip Leader and submission of collection to market(s).

RULES AND EXTENT OF ANY OTHER DELEGATED

CLAIMS AUTHORITY:

None.

Where the Claims Agreement Parties hereunder have delegated authority to a third party, then all reinsurers will follow the settlements of the appointed third party.

XYZ (UK) Ltd are hereby authorised to instruct Surveyors on behalf of (re)insurers in respect of claims which are not expected to exceed USD 50,000 net of deductible or equivalent in other currencies. In the event that (re)insurers are not immediately available, XYZ (UK) Ltd are authorised to appoint Surveyors irrespective of amount. The Surveyors fees being payable by (re)insurers as provided for under the Expert(s) Fees Collection heading.

EXPERT(S) FEES COLLECTION:

In respect of Expert(s) Fees payable by (re)insurers for services performed on their behalf, an appointed Service Provider to provide all collection and disbursement services on behalf of (re)insurers in conjunction with, whenever appropriate, Xchanging in respect of any bureau markets. In respect of Expert(s) Fees payable by (re)insurers for services performed on behalf of the (re)insured XYZ (UK) Ltd to collect fees.

SETTLEMENT DUE DATE:

30th March 2025

BUREAUX ARRANGEMENTS:

Premium Processing Clause

Where the premium is to be paid through Xchanging Ins-sure Services (XIS), payment to Reinsurers will be deemed to occur on the day that a delinked premium is released for settlement by the Appointed Broker or in the case of non-delinked premiums, on the day that the error-free Premium Advice Note (PAN) is submitted to XIS.

Where premiums are to be paid by instalments under the Deferred Account Scheme, and the Appointed Broker does not receive the premium in time to comply with the agreed settlement date for the second or subsequent instalment, the Appointed Broker, if electing to suspend the automatic debiting of the relevant deferred instalment, shall advise the Slip Leader in writing and instruct XIS accordingly. XIS shall then notify Reinsurers. Payment to any entity within the same group of companies as the Appointed Broker will be deemed to be payment to the Appointed Broker.

Nothing in this clause shall be construed to override the terms of any Premium Payment Warranty or Clause or any Termination or Cancellation provision contained in this contract. Furthermore, any amendment to the Settlement Due Date of a premium instalment as a result of the operation of this Premium Processing Clause shall not amend the date that such instalment is deemed to be due for the purposes of such Premium Payment

Warranty or Clause or Termination or Cancellation provision unless Reinsurers expressly agree otherwise.

Appointed Broker : XYZ (UK) Ltd

LSW3003
14/12/09

Xchanging Ins-sure Services (XIS) are authorised to sign premium, de-linked or otherwise, from individual insureds, cedants, territories, insurers or class of business sections separately as and when received from XYZ (UK) Ltd.

In the event that any applicable premium payment warranty, clause or condition has a different due date to the settlement due date, XIS are hereby authorised to amend the settlement due date to match the premium payment warranty, clause or condition due date. This agreement shall be binding on all bureau reinsurers.

XIS to accept declarations/premiums as presented without insurers prior agreement.

Reinsurers hereby agree that any premium payable in instalments under this contract will be processed as delinked additional premium entries other than when submitted under the Deferred Account Scheme.

Where any Settlement Due Date (SDD), Premium Payment Warranty (PPW) or Premium Payment Condition (PPC) due date falls on a weekend or public holiday, presentation to XIS or reinsurers hereon or release for settlement of a delinked premium as applicable on the next working day will be deemed to be in compliance with such SDD, PPW or PPC.

Where Premium Transfers have been completed any additional/return premiums due thereafter will be paid/deducted from the last Year of Account unless advised differently by (re)insurers.

Agreed to accept currency rate of exchange adjustments as presented to XIS bearing evidence of Reinsured payment / settlement.

For signing purposes XIS agree to accept netted down premiums (being both gross and net) as presented by XYZ (UK) Ltd.

All premium related transactions shall be settled in the same currency as indicated in this contract and all claims related transactions, including fees and expenses shall be paid in any appropriate currency as requested by the Insured, expert or adjuster, providing:

Where the currency(ies) is not a currency nominated by Lloyd's, IUA or XIS as a settlement currency, or where one or more XIS Underwriter does not transact business in a nominated XIS settlement currency or where all or part of the Lloyd's premium is to be settled in US Dollars (USD) for US or Canadian Trust Fund purposes, then all transactions will be converted into Pounds Sterling (GBP), US

Dollars (USD) or Euro (EUR), as specified by XYZ (UK) Ltd, at the applicable rate of exchange which shall be determined by:

a) the date of receipt by XYZ (UK) Ltd for premiums
b) the date of payment to the client for claims and return premiums or as agreed by the Slip Leader.

XIS are authorised to:

- issue For Declaration Only (FDO) signings (to allow prompt policy signing and notification of claims via ECF, where necessary).

Insurers agree to allow delinked signings to be removed on Broker instruction only, subject to evidence that insurers have been advised by the Broker that it has been unable to collect the premium.

Tax Schedules and other documentation supporting premium calculation included within submissions to XIS are deemed informational documents only and do not form part of the contract nor require underwriter agreement.

For the purpose of policy production only references to “Slip Leader” and “Slip Leader only” herein are deemed to read “Reinsurers”.

Where Premium Transfers have been completed any additional/return premiums due thereafter will be paid/deducted from the last Year of Account unless advised differently by insurers.

PLACING PLATFORM LIMITED (PPL) ARRANGEMENTS:

In the event the Settlement Due Date (as detailed in Subscription Agreement) differ from those shown in the PPL SECURITY DETAILS ,the PPL security details should take precedence. In the event of Premium Payment Condition, the details mentioned in the Premium Payment Terms should take precedence.

NON-BUREAUX ARRANGEMENTS:

Reinsurers agree to accept premium from individual insureds, cedants, territories or class of business sections separately as and when received from XYZ (UK) Ltd.

In the event that any applicable premium payment warranty, clause or condition has a different due date to the settlement due date, reinsurers hereby agree the settlement due date is amended to match the premium payment warranty, clause or condition due date. This agreement shall be binding on all non-bureau reinsurers.

Premium included in either the next Statement of Account or the next eAccounting Financial Account (FA) ACORD message batch, dispatched electronically after SDD shall be deemed to meet Premium Payment Terms. This does not supersede priority payments nor special payment terms nor specifically agreed payment and currency terms stated in this contract.

Agreed to accept currency rate of exchange adjustments as presented to reinsurers bearing evidence of Reinsured payment / settlement.

All premium related transactions shall be settled in the same currency as indicated in this contract and all claims related transactions, including fees and expenses shall be paid in any appropriate currency as requested by the Reinsured, expert or adjuster, providing:

Where the currency(ies) is not a currency nominated by reinsurers or XYZ (UK) Ltd as a settlement currency, then all transactions will be converted into Pounds Sterling (GBP), US Dollars (USD) or Euro (EUR), as specified by XYZ (UK) Ltd, at the applicable rate of exchange which shall be determined by:

a) the date of receipt by XYZ (UK) Ltd for premiums

b) the date of payment to the client for claims and return premiums or as agreed by the Slip Leader.

Settlements in respect of any Canadian interest will be converted, where necessary, into US Dollars (USD) or Canadian Dollars (CAD) for payment to insurers at the applicable rate of exchange determined by the date of premium receipt by XYZ (UK) Ltd.

NOTICE OF CANCELLATION PROVISION: Where (re)insurers have the right to give notice of cancellation, in accordance with the provisions of the contract, then:

To the extent provided by the contract, the Slip Leader is authorised to issue such notice on behalf of all participating (re)insurers; and (optionally) Any (re)insurer may issue such notice in respect of its own participation.

The content and format of any such notice should be in accordance with the ‘Notice of Cancellation’ standard, as published by the London Market Group (LMG), or their successor body, on behalf of London Market Associations and participants. However failure to comply with this standard will not affect the validity of the notice given.

Failure to comply with this delivery requirement will make the notice null and void. Satisfactory delivery of the notice will cause it to be effective irrespective of whether the broker has acknowledged receipt.

FISCAL AND REGULATORY

TAX PAYABLE BY	
(RE)INSURERS:	6.25% Ecuadorian withholding Tax
COUNTRY OF ORIGIN:	Ecuador
REGULATORY RISK LOCATION:	Ecuador
OVERSEAS BROKER:	XYZ Ltd Full Address: Av. Cra. 99 No. 132-98 Office123 Bogotá Colombia
ALLOCATION OF PREMIUM TO CODING:	P3 – 100%
REGULATORY CLIENT CLASSIFICATION:	Reinsurance

BROKER REMUNERATION AND DEDUCTIONS

FEE PAYABLE BY CLIENT: No

TOTAL BROKERAGE: 20%

OTHER DEDUCTIONS
FROM PREMIUM: Up to 2.5% Engineering Fees, as incurred, subject to sight of survey and invoice to be advised to slip leader only